

REASONS FOR Q2 GDP SURGE...

- Consumption picks up
- Lower inflation
- Income tax benefits
- Low base in Q2 of 2024-25

THE CONCERNS AHEAD...

- Inflation, notably in food, may harden
- Private investment is yet to fire up on a big scale
- US tariffs will put pressure on exports
- Global economic growth may weaken

the pandemic slump."

According to him, the factors driving the second quarter GDP boost are a low base in the same quarter last year, lower inflation (way below the Reserve Bank of India's tolerance range), and the income tax benefits that had kicked in from the Union Budget announcements this year.

The festive season largely fell out of the purview of the latest GDP figures, and will get reflected only in the Q3 numbers. That will add some more heft to growth in the next quarter. However, tempering this growth will be two things. One is inflation, especially food inflation, which is likely to rise in the next two quarters. Moreover,

THE FESTIVE SEASON LARGELY MISSES OUT IN CURRENT GDP NUMBERS, AND WILL ONLY REFLECT IN THE Q3 FIGURES. IT'LL ADD MORE HEFT TO IT

the second half quarters will not have the benefit of the lower base. The US tariffs on Indian exports is another dampener, and will remain so if India is unable to reach a trade deal with the Americans.

Just ahead of the festive season, the Centre undertook what was the biggest tweak in the Goods and Services Tax (GST) since it was announced in July 2017. The 'next-generation GST reforms' were first announced by Prime Minister Narendra Modi during his Independence Day speech, but the policy announcement came on September 4 and the revised rates came into effect only on September 22. The GST tweaks, aimed at boosting consumption and making taxation more transparent, saw a shift to a two-slab system of 5 per cent and 18 per cent, removing the additional 12 per cent and 28 per cent rates that existed earlier. At the same time, a 40 per cent tax on luxury and 'sin goods' such as paan masala, tobacco and aerated drinks was imposed.

FESTIVE CHEER

With this, the festive season, that included a few days in September and encompassed the whole of October extending from Dusshera to Diwali, was expected to see a surge in demand. And it did. Data released by the Federation of Automotive Dealers Associations (FADA) for auto sales in the 42-day festive season, showed that passenger vehicles grew 23 per cent compared to the same period in 2024. For two-wheelers, the number was 22 per cent, and for commercial vehicles 15 per cent. The GST rate cuts, especially for entry-level two-wheelers and small cars, spurred affordability and first-time buying. Rural India became the growth engine, aided by a strong monsoon, higher farm incomes and infrastructure spending.

Media reports have also pointed to a sharp rebound in consumer electronics demand. Tarun Pathak, research director at Counterpoint Research, said the festive season saw smartphone growth up 10 per cent year-on-year in volumes and 18 per cent in value—the highest since the

Illustration by **SIDDHANT JUMDE**